



LOCAL AUTONOMY AND SYSTEM OF DECENTRALIZATION





OBJECTIVES

To know and understand the:

- **Principles on Local Autonomy**
- **System of Decentralization**
- **Updates on Mandanas ruling**





Outline of Presentation

- 1987 Constitution -Structure of Government
- Territorial and political subdivisions of Government
- Decentralization
- Initial Discussion on LGC
- Updates on Mandanas







1987 Constitution

Supreme law of the land - **Constitution**

- The Philippines is a **democratic** and **republican** State. Sovereignty resides in the **PEOPLE** and all government authority emanates from them. (Section 1, Article II)





1987 Constitution

- The prime duty of the Government is to **SERVE** and **PROTECT** the people.

Section 4, Article II





1987 Constitution

- The maintenance of **peace and order**, the **protection of life, liberty, and property**, and **promotion of the general welfare** are essential for the enjoyment by **all the people** of the blessings of democracy.

Section 5, Article II





1987 Constitution

- The State shall ensure the **autonomy** of local governments.

Section 25, Article II

- Two facets:
 - **Administrative**
 - **Fiscal**

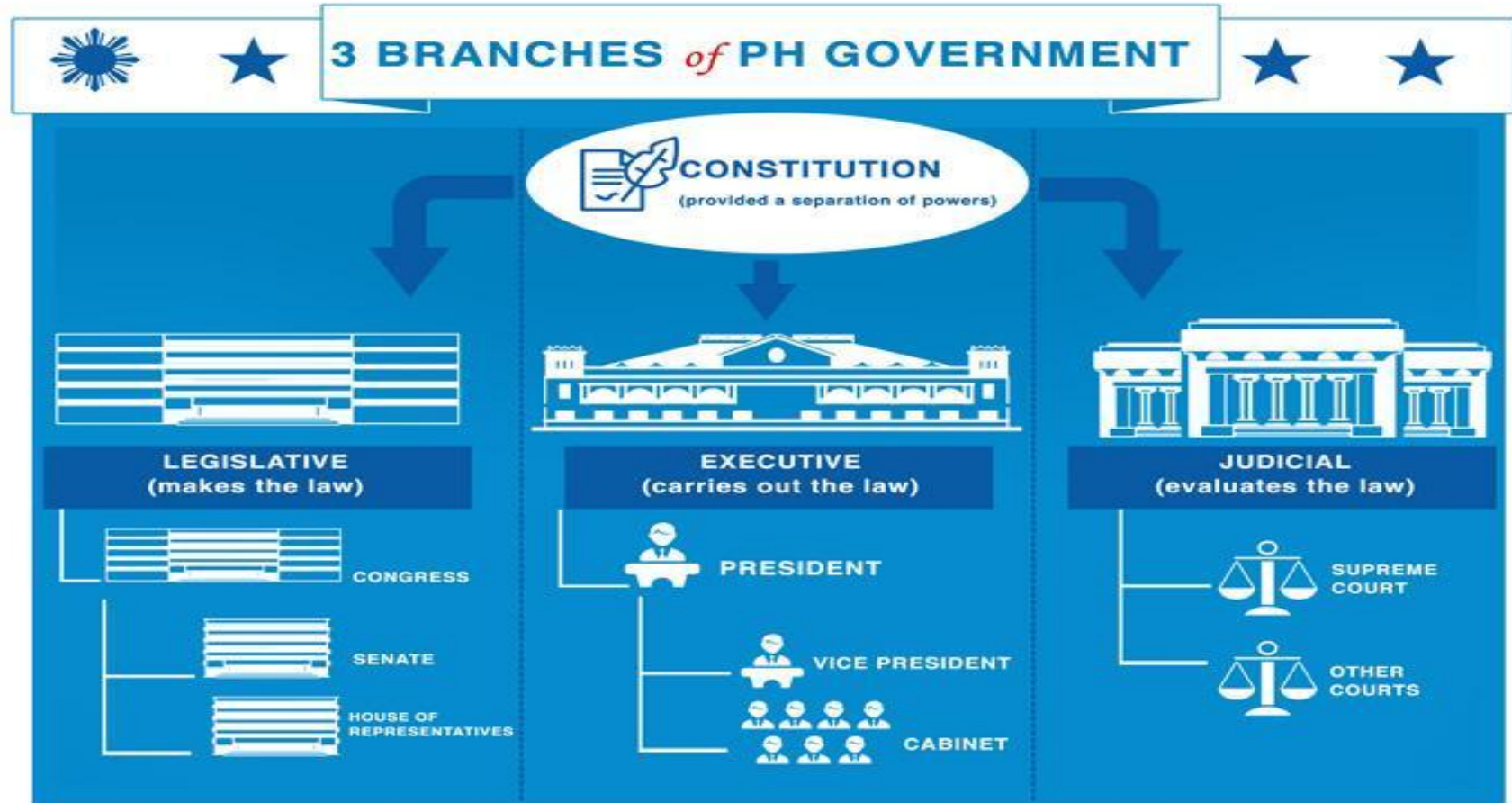




1987 Constitution

The Philippines is a republic with a presidential form of government wherein power is equally divided among its three branches: executive, legislative, and judicial. The government seeks to act in the best interests of its citizens through this system of check and balance.





Source: Philippine Information Agency



Changing Mindsets. Influencing Behavior.



Executive Department

PRESIDENT OF THE REPUBLIC OF THE PHILIPPINES

National Government

Local Government Units





1987 Constitution

(Article X – Local Government)

The **territorial and political subdivisions:**

- **PROVINCES**
- **CITIES**
- **MUNICIPALITIES**
- **BARANGAYS**
- **AUTONOMOUS REGIONS** in Muslim Mindanao and the Cordilleras

Section 1, 1987 Constitution





President's Power

Power of Control

National Government

Department Secretaries – alter ego of the President
(Doctrine of Qualified Political Agency)

Power of General Supervision

Local Government Units





1987 Constitution

(Article X – Local Government)

The **President of the Philippines** shall exercise **general supervision** over local governments.

Provinces with respect to *component cities and municipalities*, and **cities and municipalities** with respect to *component barangays*, shall ensure that the acts of their component units are within the scope of their prescribed powers and functions.





President's Power of General Supervision over LGUs

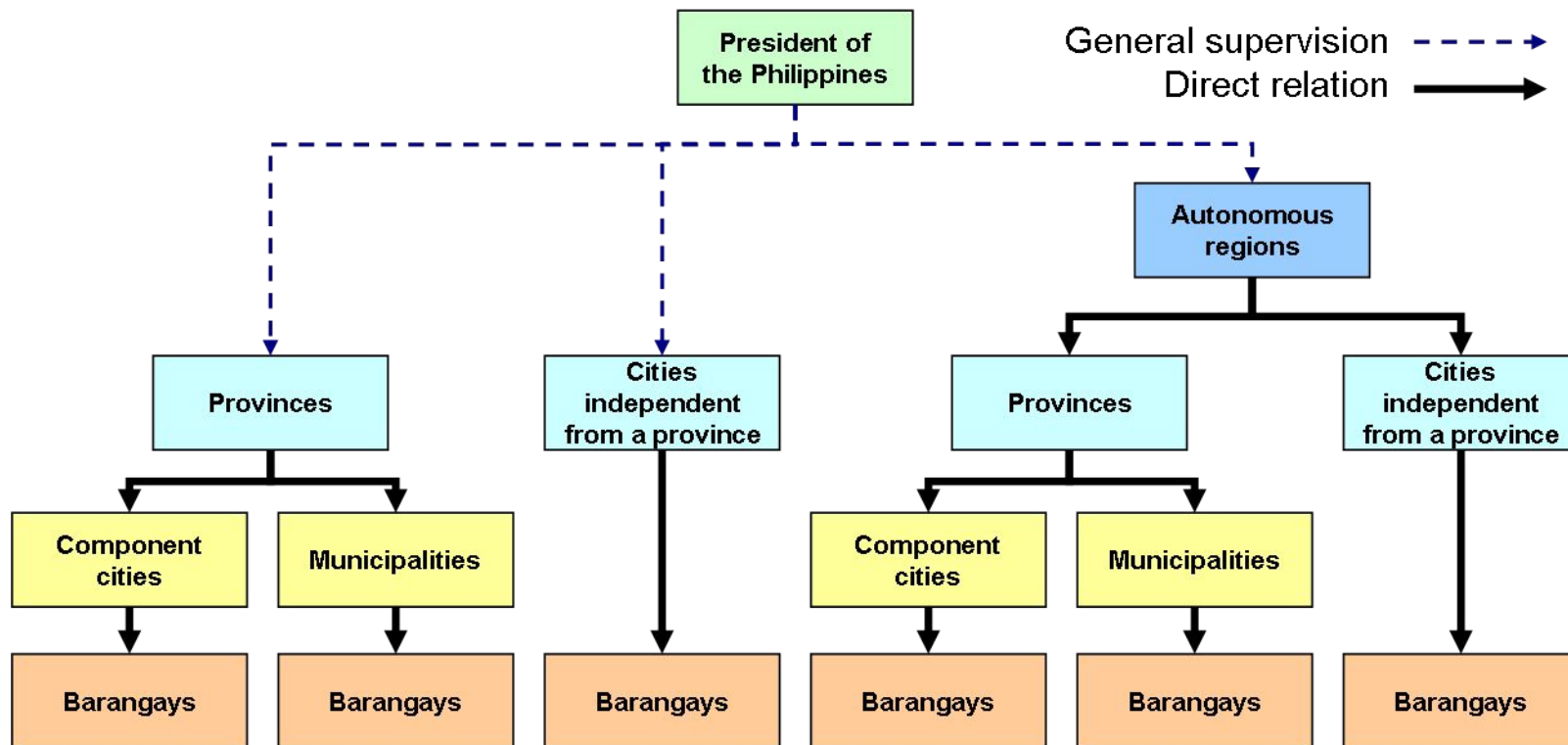
Consistent with the basic policy on local autonomy, the President shall exercise general supervision over local government units to **ensure that their acts are within the scope of their prescribed powers and functions.**

Direct supervision - provinces, highly urbanized cities, and independent component cities;

Indirectly through the province with respect to component cities and municipalities; and through the city and municipality with respect to barangays.

Section 25, RA 7160





https://en.wikipedia.org/wiki/Local_government_in_the_Philippines





Role of the Secretary of DILG or SILG?





SILG's DELEGATED POWER OF GENERAL SUPERVISION

Administrative Order No. 267, s. 1992

Delegated powers to SILG to effectively and efficiently implement the Local Government Code (RA 7160 or the LGC)

Exercise of supervision directly over provinces, highly urbanized cities and independent component cities; through the province with respect to component cities and municipalities; and through the city and municipality with respect to the barangays.





Enactment of RA 7160 or LGC

- The **constitutional mandate** to ensure local autonomy refers to **decentralization**.





Enactment of RA 7160 or LGC

- LGUs to enjoy genuine and meaningful **local autonomy**
- Local autonomy → fullest development as self-reliant communities
- Self-reliant LGUs → effective partners in the attainment of national goals.





Enactment of RA 7160 or LGC

- Toward this end, the State shall provide for a **more responsive and accountable** local government structure instituted through a system of **decentralization**





13 Operative Principles of Decentralization under the LGC

1. **Effective allocation of their respective powers, functions, responsibilities, and resources among the different local government units**





13 Operative Principles of Decentralization under the LGC

2. An accountable, efficient, and dynamic organizational structure and operating mechanism that will meet the priority needs and service requirements of its communities;





13 Operative Principles of Decentralization under the LGC

3. The power to create and broaden their own sources of revenue and the right to a just share in national taxes and an equitable share in the proceeds of the utilization and development of the national wealth within their respective areas





13 Operative Principles of Decentralization under the LGC

4. Subject to civil service law, rules and regulations, **local officials and employees paid wholly or mainly from local funds shall be appointed or removed, according to merit and fitness, by the appropriate appointing authority**





13 Operative Principles of Decentralization under the LGC

5. Provinces with respect to component cities and municipalities, and cities and municipalities with respect to component barangays, shall **ensure that the acts of their component units are within the scope of their prescribed powers and functions**





13 Operative Principles of Decentralization under the LGC

6. Local government units may group themselves, consolidate or coordinate their efforts, services, and resources commonly beneficial to them;





13 Operative Principles of Decentralization under the LGC

7. The **capabilities of LGUs**, especially the municipalities and barangays, shall be **enhanced** by providing them with opportunities to participate actively in the **implementation of national programs and projects**;





13 Operative Principles of Decentralization under the LGC

8. A continuing mechanism to enhance local autonomy not only by legislative enabling acts but also by administrative and organizational reforms;





13 Operative Principles of Decentralization under the LGC

9. LGUs shall share with the national government the responsibility in the management and maintenance of ecological balance within their territorial jurisdiction ;





13 Operative Principles of Decentralization under the LGC

10. Effective mechanisms for **ensuring the accountability of LGUs** to their respective constituents shall be strengthened in order to upgrade continually the **quality of local leadership**;





13 Operative Principles of Decentralization under the LGC

11. Improved coordination of national government policies and programs thru adequate technical and material assistance to less developed and deserving LGUs





13 Operative Principles of Decentralization under the LGC

12. The participation of the private sector in local governance, particularly in the delivery of basic services, shall be encouraged to ensure the viability of local autonomy as an alternative strategy for sustainable development; and





13 Operative Principles of Decentralization under the LGC

13. The national government shall ensure that **decentralization contributes to the continuing improvement of the performance of LGUs and the quality of community life.**





RA 7160

Local Government Code of 1991

Book 1 – General Provisions

Book 2 – Local Taxation and Fiscal Matters

Book 3 - Local Government Units

Book 4 - Miscellaneous and Final Provisions





Local Government Code

Book 1 – General Provisions

Title One – Basic Principles

Ch. 1. The Code: Policy and Application

Ch. 2. General Powers and Attributes of LGUs

Ch. 3. InterGovernmental Relations





Local Government Code

Ch. 4. Relations with People's and NGOs

Ch. 5. Local PBAC

Title Two – Elective Officials

Ch. 1. Qualifications and Elections

Ch. 2. Vacancies and Succession

Ch. 3. Local Legislation

Ch. 4. Disciplinary Actions

Ch. 5. Recall





Local Government Code

Title Three – Human Resources and Devt

Title Four - Local School Boards

Title Five - Local Health Boards

Title Six - Local Development Boards

Title Seven - Local Peace and Order Council

Title Eight - Autonomous Special Economic
Zones

Title Nine - Other Provisions Applicable to
Local Government Units





Nature of LGUs

An LGU can exercise its **powers within its territorial boundary or jurisdiction.**

It is a **body politic and corporate** endowed with powers to be exercised by it in conformity with law. As such, it shall exercise powers as a political subdivision of the national government and as a corporate entity representing the inhabitants of its territory. (Section 15, LGC)





Nature of LGUs

Governmental powers are those exercised in administering the powers of the state and promoting the public welfare and they include the legislative, judicial, public and political.

Municipal powers on the one hand are exercised for the special benefit and advantage of the community and include those which are ministerial, private and corporate. (CITY OF MANILA vs IAC, G.R. No.71159, 15 Nov. 1989)





Nature of LGUs

Section 16. *General Welfare.* - Every local government unit shall exercise the powers expressly granted, those necessarily implied therefrom, as well as powers necessary, appropriate, or incidental for its efficient and effective **governance**, and those which are **essential to the promotion of the general welfare**. xxx





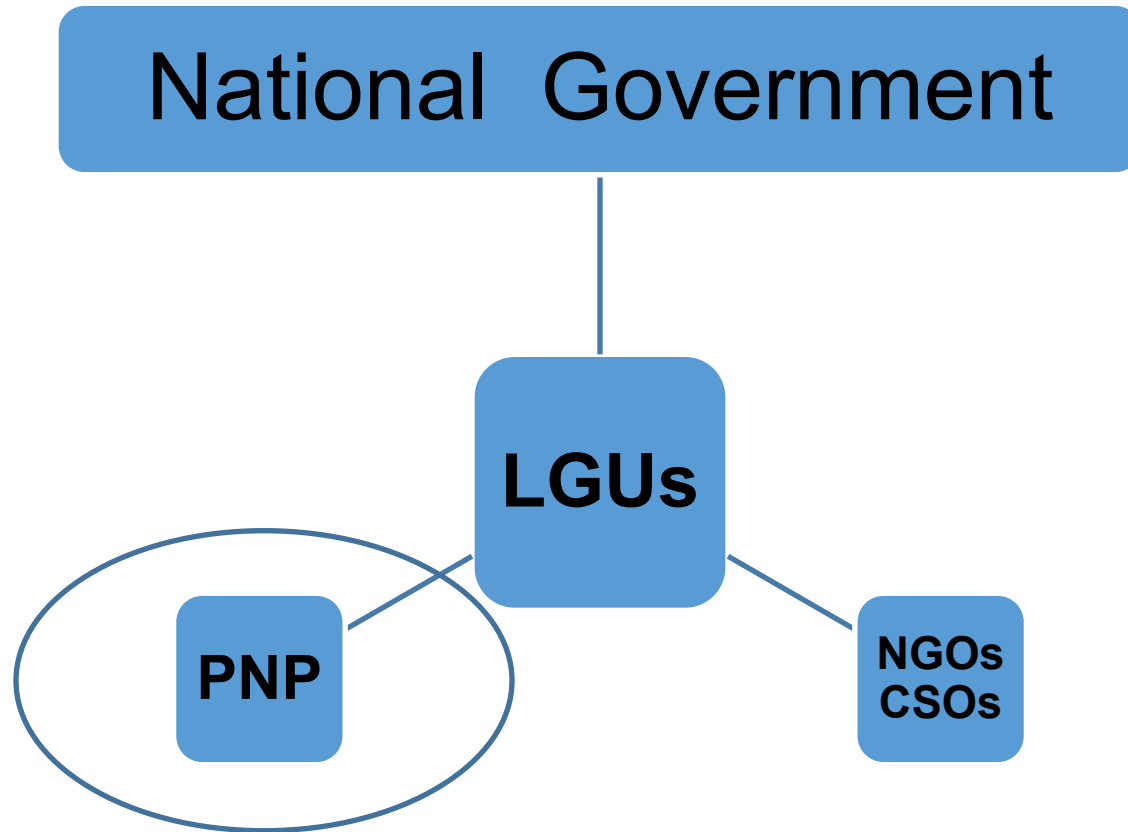
Corporate Powers of LGUs

- (1) To have continuous succession in its corporate name;
- (2) To sue and be sued;
- (3) To have and use a corporate seal;
- (4) To acquire and convey real or personal property;
- (5) To enter into contracts; and
- (6) To exercise such other powers as are granted to corporations, subject to the limitations provided in this Code and other laws. (Section 22, LGC)





Intergovernmental Relations





References /Sources:

- a. 1987 Constitution image sourced from ArkPure.com
- b. Local Government Code of 1991
- c. RA 6975
- d. RA 8551
- e. DILG Opinions
- f. Mandanas vs. Ochoa
- g. UNDP
- h. Cong. Edgar M. Chatto's presentation
 - i. Amicus Imperium Locorum – Sec. Alberto C. Agra
 - j. Pimentel vs. Aguirre
- k. Carpio vs. Executive Secretary
- l. Powers and Devolved Services of LGUs from
<https://halalan.up.edu.ph/powers-and-devolved-services-of-local-government-units-lgus/>





Mandanas vs. Ochoa

(G.R. No. 199802 / 208488, 03 July 2018)

Petitioners leads by Cong. Hermilando I. Mandanas (G.R. No. 199802) and Rep. Enrique Garcia (G.R. No. 208488) **challenge the manner in which the *just share* in the national taxes of the local government units (LGUs) has been computed.**





Mandanas vs. Ochoa

Respondents - Exec. Sec. Paquito Ochoa,
DOF Sec. Cesar Purisima, DBM Sec.
Florencio Abad, BIR Comm. Kim Jacinto
Henares, National Treasurer Roberto Tan /
BOC Comm. Rufino B. Biazon





Mandanas vs. Ochoa

(G.R. No. 199802 / 208488, 03 July 2018)

SECTION 284. Allotment of Internal Revenue Taxes.

– Local government units shall have a share in the **national internal revenue taxes** based on the collection of the third fiscal year preceding the current fiscal year as follows:

- (a) On the first year of the effectivity of this Code, thirty percent (30%);
- (b) On the second year, thirty-five percent (35%); and
- (c) On the third year and thereafter, forty percent (40%).**





Mandanas vs. Ochoa

Petitioners assail how the IRA is computed in the General Appropriations Act (GAA) for FY 2012





Mandanas vs. Ochoa

Certain collections of NIRTs by the Bureau of Customs (BOC) – specifically: excise taxes, value added taxes (VATs) and documentary stamp taxes (DSTs) – have not been included in the base amounts for the computation of the IRA;





Mandanas vs. Ochoa

Petitioners compel the respondents to compute the just share of the LGUs on the basis of ***all national taxes***





Mandanas vs. Ochoa

- I. Municipal Corporations and their relationship with Congress**
- II. Extent of Local Autonomy**
- III. Decentralization**
- IV. Section 284 of LGC deviates from Section 6, Art. X of the Constitution**
- V. Exclusion of some national taxes valid when the Constitution allows it**





Mandanas vs. Ochoa

I. **Municipal Corporations** and their relationship with **Congress**

- Municipal governments are only **AGENTS** of the national government.
- Local councils exercise only **DELEGATED** legislative powers conferred by Congress.
- The national legislature is still the **PRINCIPAL** of the local government units, which cannot defy its will or modify or violate it.





Mandanas vs. Ochoa

II. Extent of Local Autonomy

- Congress bows down to the majesty of the CONSTITUTION.
- Constitution - State shall ensure autonomy of the local governments.
- The autonomy of the LGUs as thereby ensured does not contemplate the fragmentation of the Philippines into a collection of mini-states, or the creation of *imperium in imperio*





Mandanas vs. Ochoa

III. DECENTRALIZATION

In its broad or general sense, decentralization has two forms in the Philippine setting, namely: the **decentralization of power** and the **decentralization of administration**.





Mandanas vs. Ochoa

DECENTRALIZATION OF POWER

Abdication of **POLITICAL POWER** in favor of the **autonomous LGUs** as to grant them the freedom to chart their own destinies and to shape their futures with minimum intervention from the central government. **LGUs thereby become accountable not to the central authorities but to their constituencies.**





Mandanas vs. Ochoa

DECENTRALIZATION OF ADMINISTRATION

Occurs when the central government delegates **ADMINISTRATIVE POWERS** to the LGUs as the means of broadening the base of governmental powers and of **making the LGUs more responsive and accountable**





Mandanas vs. Ochoa

Two groups of LGUs

Regional Units (Power)

- ARMM; CAR

Local Government Units (Administration)

- Provinces / Cities / Municipalities / Barangays





Mandanas vs. Ochoa

DECENTRALIZATION

As a system of transferring authority and power from the National Government to the LGUs, decentralization in the Philippines may be **categorized** into four, namely:

- (1) **political** decentralization or devolution;
- (2) **administrative** decentralization or deconcentration;
- (3) **fiscal** decentralization; and
- (4) **policy** or decision-making decentralization.





Mandanas vs. Ochoa

IV. Section 284 of the LGC deviates from the plain language of Section 6 of Article X of the 1987 Constitution

1987 Constitution

SECTION 6. Local government units shall have a just share, as determined by law, in the **national taxes** which shall be automatically released to them.

LGC

SECTION 284. Allotment of Internal Revenue Taxes.
– Local government units shall have a share in the **national internal revenue taxes**





Mandanas vs. Ochoa

Section 21. *Sources of Revenue.* — The following taxes, fees and charges are deemed to be national internal revenue taxes:

- (a) Income tax;
- (b) Estate and donor's taxes;
- (c) Value-added tax;
- (d) Other percentage taxes;
- (e) Excise taxes;
- (f) Documentary stamp taxes; and
- (g) Such **other taxes** as are or hereafter may be imposed and collected by the Bureau of Internal Revenue.





Mandanas vs. Ochoa

Customs duties - taxes imposed on the importation and exportation of commodities and merchandise to or from a foreign country.

It is clear from the foregoing clarification that the exclusion of *other* national taxes like customs duties from the base for determining the *just share* of the LGUs contravened the express constitutional edict in Section 6, Article X the 1987 Constitution.





Mandanas vs. Ochoa

V. Congress can validly exclude taxes for the computation of IRA when the Constitution allows it

1. Proceeds of the sale and conversion of former military bases;
2. Excise taxes on locally manufactured Virginia tobacco products;
3. Incremental revenues from Burley and native tobacco products Share of COA in NIRTs;





Mandanas vs. Ochoa

V. Congress can validly exclude taxes for the computation of IRA when the Constitution allows it

4. Share of COA in the NIRT;
5. Excise taxes on mineral products;
6. NIRTs collected by cities and provinces exclusively among the LGUs of ARMM;
7. Franchise taxes paid by Manila Jockey Club.





Mandanas vs. Ochoa

RECAP:

The collections of national taxes for inclusion in the base of the just share the LGUs shall include, but shall not be limited to, the following::

1. The **NIRTs** enumerated in Section 21 of the NIRC, as amended, collected by the BIR and BOC;





Mandanas vs. Ochoa

2. Tariff and customs duties collected by the BOC;
3. 50% of the VATs collected in the ARMM, and 30% of all other national taxes collected in the ARMM; the remaining 50% of the VATs and 70% of the collections of the other national taxes in the ARMM shall be the exclusive share of the ARMM pursuant to Section 9 and Section 15 of R.A. No. 9054;





Mandanas vs. Ochoa

4. 60% of the national taxes collected from the **exploitation and development of the national wealth**; the remaining 40% will exclusively accrue to the host LGUs pursuant to Section 290 of the LGC;

5. 85% of the **excise taxes** collected from locally manufactured Virginia and other tobacco products; the remaining 15% shall accrue to the special purpose funds pursuant created in R.A. No. 7171 and R.A. No. 7227;





Mandanas vs. Ochoa

6. The entire 50% of the **national taxes collected** under Section 106, Section 108 and Section 116 of the NIRC **in excess of the increase in collections** for the immediately preceding year; and

7. 5% of the **franchise taxes** in favor of the national government paid by franchise holders in accordance with Section 6 of R.A. No. 6631 and Section 8 of R.A. No. 6632.





Mandanas vs. Ochoa

The Supreme Court DECLARES:

1. The phrase “internal revenue” appearing in Section 284 of RA 7160 UNCONSTITUTIONAL and deletes the phrase from Section 284:
1. The phrase “internal revenue” is likewise DELETED from the related sections, specifically Section 285, Section 287, and Section 290;





Mandanas vs. Ochoa

Agencies ordered to INCLUDE all collections of national taxes:

1. DOF
2. DBM
3. BIR
4. BOC
5. NATIONAL TREASURY





Mandanas vs. Ochoa

1. SC Decision – **prospective application**
2. **Automatic release** without need of further action or “yearly appropriation”;
3. Any mention of “Internal Revenue Allotment” or “IRA” in Republic Act No. 7160 (*Local Government Code*) and IRR shall be understood as pertaining to the **allotment** of the Local Government Units derived from the national taxes.





UPDATES (Implementation of Mandanas Ruling)

- Executive Order No. 138 , s. 2021
(signed on 01 June 2021)
- Joint Memorandum Circular No. 2021-1
(dated 11 August 2021)





UPDATES (Implementation of Mandanas Ruling)

Executive Order No. 138 , s. 2021

Committee on Devolution:

S, DBM – Chairperson

SILG - Co-Chairperson

Members: NEDA, DOF, and Presidents of the Leagues of Provinces, Cities and Municipalities of the Philippines, Liga ng mga Barangay, and Union of Local Authorities of the Philippines





UPDATES (Implementation of Mandanas Ruling)

Executive Order No. 138 , s. 2021

NGAs and LGUs shall prepare their respective DEVOLUTION TRANSITION PLANS (DTPs)

(should conform to the guidelines [JMC 2021-1])

DTPs – guide in the monitoring and performance assessment of the LGUs





UPDATES (Implementation of Mandanas Ruling)

Executive Order No. 138 , s. 2021

Growth Equity Fund

Proposal by ComDev to Congress to address issues on marginalization, unequal development, high poverty incidence and disparities in the net fiscal capacities of LGUs





UPDATES (Implementation of Mandanas Ruling)

Executive Order No. 138 , s. 2021

Capacity Development

DILG, through LGA, shall oversee the provision of capacity development interventions for LGUs and develop appropriate mechanisms to ensure efficient utilization of government resources on this effort.





UPDATES (Implementation of Mandanas Ruling)

Executive Order No. 138 , s. 2021

Capacity Development

DILG, DBM, and BLGF (DOF) shall include public financial management processes (local planning, investment programming, resource mobilization and budgeting

(ensure that the allocation of the revenue allotment for basic services and facilities is in accordance with Section 17 of RA 7160





UPDATES (Implementation of Mandanas Ruling)

 DEVOLVED FUNCTIONS TO LGUs (SEC 17 LGC)				
FUNCTIONS/SERVICES	PROVINCE	MUNICIPALITY	CITY	BARANGAY
Agriculture extension and on-site research services	●	●	●	●
Local infrastructure services	●	●	●	●
Natural resource management services	●	●	●	
Environmental services	●	●	●	●
Tax information and collection services	●	●	●	
Health services	●	●	●	●
Investment and job placement information systems		●	●	
Social welfare services	●	●	●	●
Transportation services		●	●	
Tourism services	●	●	●	
Housing services	●		●	
Other services	●	●	●	
DILG OASPP/PLANNING SERVICE				

Source: ppt presentation of DILG Asec. Frank Cruz on DTP





UPDATES (Implementation of Mandanas Ruling)

JMC No. 2021-1 (DBM-DILG)

Guiding Principles

(Transition to Full Devolution of Services to LGUs)

1. Direct service delivery; assume accountability
2. Strengthen capacity for stewardship
3. Establish robust partnership with NGAs, private sector, NGOs, Pos, and academic institutions





UPDATES (Implementation of Mandanas Ruling)



IMPLICATIONS OF MANDANAS-GARCIA RULING



37.89%

Increase in NTA
national budget share

- More funds/resources for LGU programs/services
- Improved local service delivery
- Greater responsibility and accountability of LGUs
- Greater demand for capacity building and supervision of LGUs

DILG OASPP/PLANNING SERVICE





UPDATES (Implementation of Mandanas Ruling)



DILG OASPP/PLANNING SERVICE

INCREASE IN LGU ALLOCATION

LGU	NO. OF LGUs	% ALLOCATION	2021 IRA (GAA 2021)	2022 NTA (DBM LBM 82)	PERCENTAGE INCREASE
Provinces	82	23%	159, 963, 332, 270	220, 579, 487, 500	37.89%
Cities	146	23%	149,251, 886, 580	220, 579, 487, 500	37.89%
Municipalities	1,488	34%	236, 467, 534, 660	326, 074, 025, 000	37.89%
Barangays	41,933	20%	139, 098, 549, 800	191, 808, 250, 000	37.89%
			695, 492, 749, 000	959, 041, 250, 000	37.89%

Photo from Brgy Quirino 3A FB Page





UPDATES (Implementation of Mandanas Ruling)

“From everyone who has been given much, much will be demanded; and from the one who has been entrusted with much, much more will be asked.”

Luke 12:48





THANK YOU
And
Have a great day
ahead!!!

